SECTION A

QUESTION 1

Definition of Accounting

Accounting is a process of identifying, recording, classifying, summarising, communicating and interpreting the results of business or economic transaction to users in order for them to make a better decision.

3 Professional Accounting Bodies in Malaysia:

1. Malaysian Institute of Certified Public Accountants (MICPA)
2. Malaysian Institute of Accountants (MIA)
3. Malaysian Accounting Standards Board (MASB)

QUESTION 2

4 types of financial statements:

1. Statement of Comprehensive Income / Statement of Profit or Loss
2. Statement of Owner’s equity
3. Statement of Financial Position
4. Statement of Cash Flows

QUESTION 3

ASSET					=	LIABILITIES		+ OWNER’S EQUITY
Date	Cash/ Bank	Equipment	Supplies	Accounts Receivable		Accounts Payable	Capital	Revenue/ expenses
Jan 1	+RM30,000						+RM30,000	
3		+RM18,000				+RM18,000		
4	-RM6,000		+RM6,000					
10				+RM2,550				+RM2,550
12				+RM1,000				+RM1,000
13	-RM9,000					-RM9,000		
19	+RM2,550			-RM2,550				
23	-RM1,000						-RM1,000	
25	-RM800							-RM800
28	-RM350							-RM350
29			-RM30				-RM30	

QUESTION 4

- Current liabilities (certain) – Debt to be settled within less than one year and can be accurately identified.
- Estimated current liabilities – a known liability that management knows exists, but there is no way of knowing the exact amount of the liability, thus the value is estimated based on the past experience.
- Non-current liabilities – Debt to be settled over a year

QUESTION 5

No	Accounts	Liabilities/Non-liabilities
1	Accounts Payable	Liabilities
2	Accrued revenues	Non-liabilities
3	Prepaid insurance	Non-liabilities
4	Note Payable	Liabilities
5	Accumulated depreciation - Equipment	Non-liabilities
6	Drawings	Non-liabilities
7	Warranty	Liabilities

SECTION B

QUESTION 1

(i)

Date	Account titles and explanations	Debit (RM)	Credit (RM)
2012			
July 5	Dr Depreciation expense - Machine	6,000	
	Cr Accumulated depreciation - Machine		6,000
	Dr Machine (New @ Samlan)	150,000	
	Accumulated Depreciation - Machine	62,000	
	Cr Machine (Old @ Samson)		125,000
	Cash		5,000
	Gain on disposal		82,000

Calculation of depreciation expense and accumulated depreciation:

Years	Calculation	Depreciation expense
2007	RM12,000 x 8/12	RM 8,000
2008 - 2011	RM12,000 x 4	RM 48,000
2012	RM12,000 x 6/12	RM 6,000
Accumulated depreciation		RM 62,000

Book value = 125,000 – 62,000
= RM 63,000

Gain on disposal = Trade in value – book value
= (150,000 – 5,000) – 63,000
= RM 82,000

(ii)

	Account titles and explanations	Debit (RM)	Credit (RM)
2012			
Dec 31	Dr Depreciation expense - Machine	8,750	
	Cr Accumulated depreciation - Machine		8,750
	$12.5\% \times (150{,}000 - 10{,}000) \times \frac{6}{12}$		

QUESTION 2

Date	Purchase			Cost of goods sold			Balance		
	Units	Cost per unit (RM)	Total (RM)	Units	Cost per unit (RM)	Total (RM)	Units	Cost per unit (RM)	Total (RM)
Feb 1							1,000	2.50	2,500
5				750	2.50	1,875	250	2.50	625
9	5,000	2.50	12,500				5,250	2.50	13,125
12				4,000	2.50	10,000	1,250	2.50	3,125
16	7,500	2.60	19,500				1,250 7,500	2.50 2.60	3,125 19,500 22,625
24	3,250	2.70	8,775				1,250 7,500 3,250	2.50 2.60 2.70	3,125 19,500 8,775 31,400
28				1,250 7,500 1,250	2.50 2.60 2.70	3,125 19,500 6,075	1,000	2.70	2,700
	Purchase		40,775	Cost of goods sold		40,575	Ending inventory		2,700

QUESTION 3

(i)

Date	Account titles and explanations	Debit (RM)	Credit (RM)
2012 April 1	Dr Bank Cr Notes Payable (To record notes payable)	100,000	100,000

(ii)

Date	Account titles and explanations	Debit (RM)	Credit (RM)
2012 June 30	Dr Interest expense (RM100,000 x 10% x 3/12) Cr Interest payable (To record interest payable)	2,500	2,500

(iii)

Date	Account titles and explanations	Debit (RM)	Credit (RM)
2012 Sept 30	Dr Notes payable Interest payable Interest expense Cr Bank (To record payment for notes payable together with interest on maturity date)	100,000 2,500 2,500	105,000